

Olevel

Chp: Exchange rate

'Types' (fixed vs floating)

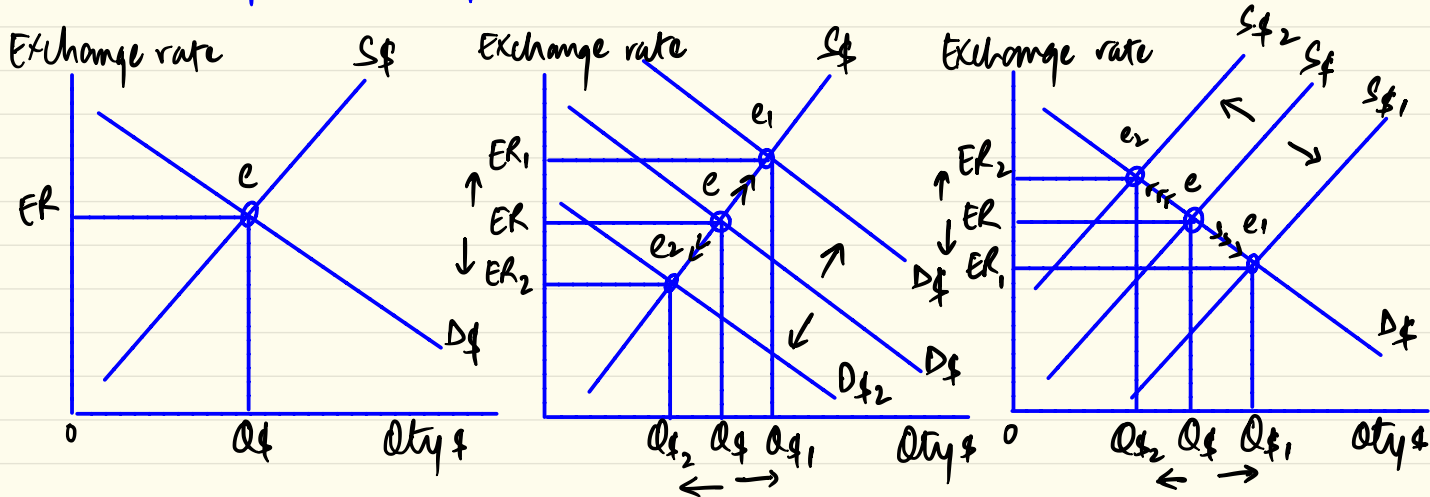
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Floating exchange rate

In this system the price of one currency in terms of another currency is determined by the forces of demand and supply of currency without any official intervention. Equilibrium exchange rate is determined at a point where the demand and supply of currency are equal. At this point, the total demand for currency at a particular exchange rate by the holders of foreign currencies is equal to the quantity of domestic currency which the holders are willing to sell at that exchange rate to buy other currencies.



Advantages of floating Exchange rate :-

Appreciate leads to depreciation
and depreciation leads to appreciation

⇒ self correcting problem

- A problem solves its problem by itself

For e.g. BOP deficit $\rightarrow$ payments $\uparrow$ made $\rightarrow$ Depreciate $\rightarrow$ goods cheaper

Government intervention is

not required to maintain exchange rate

BOP surplus

← payments received

← $X(TE) > M(TE)$



- Reduced need for currency reserves (concept of opportunity cost)

Disadvantages of floating Exchange rate

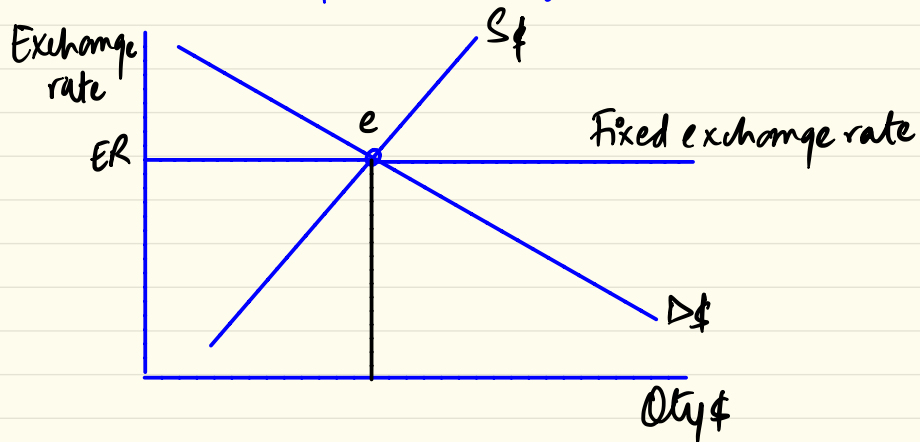
- Uncertainty / instability / unanticipated $\Rightarrow$ [Loss of confidence in our currency]
- More speculations (fluctuations $\Rightarrow$ Buying and selling at any given time)
- Lack of foreign investment

Note:- Changes in official reserves !

One of the reasons of maintaining foreign currency reserves by the Central bank are to support domestic currency. When a central bank buys foreign currency, it leads to an increase the supply of domestic currency and the central bank selling foreign currency leads to increase in the demand for domestic currency.

Fixed Exchange rate :- It is a system where the exchange rate has a set value against another currency i.e. the monetary authorities fix the value of domestic currency against the foreign currency e.g. £. For much of the post war period sterling was fixed against the dollar and it was only floated in 1972 when a fixed rate became unsustainable. To maintain a fixed exchange rate, the government needs to have a significant level of foreign currency reserves.

A fixed exchange rate does not keep it at the fixed rate. If, for example, there was an increase in demand for the currency, this would normally lead to exchange rate increasing. However, the exchange rate is fixed and so the authorities have to counter the effect of the increase in demand. They do this by supplying more of the currency. In other words they sell sterling and buy other currencies instead.



Balance of Trade
surplus

$$X(TR) > M(TE)$$

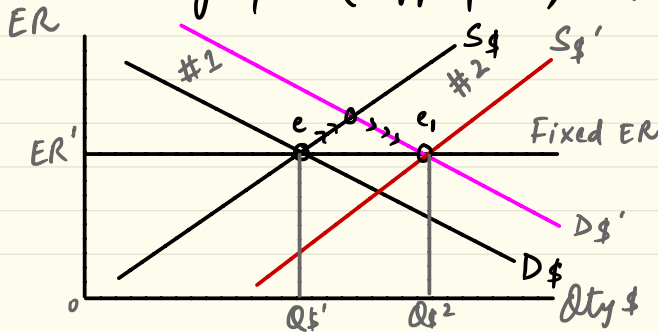
payments
received $\uparrow$

Demand $\uparrow$ (step #1)

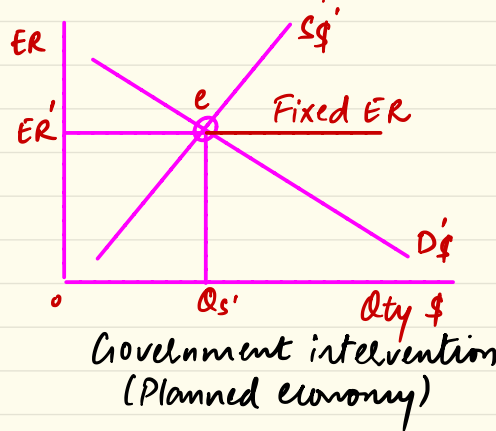
Appreciate

Government intervention

Purchase of gold (Supply $\uparrow$) (step #2)



Fixed Exchange Rate



Balance of Trade
deficit

$$M(TE) > X(TR)$$

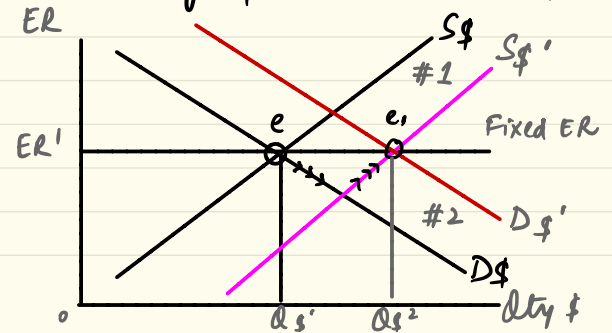
payments
made $\uparrow$

(Step #1)
Supply $\uparrow$

Depreciate

Government intervention
(Step #2)

Sale of gold (Demand $\uparrow$)



Advantages of fixed Exchange Rate

- Stability / certainty / anticipation $\Rightarrow$ confidence in our economy
- Avoid speculation (No or less fluctuations as government will intervene to maintain the exchange rate)
- Attracts investors because of anticipated return

Disadvantages of fixed Exchange rate

- Need of reserves $\Rightarrow$ concept of opportunity cost
- Uncompetitiveness

$\Downarrow$
Exchange rate set by the government can be uncompetitive while taking trading partner into consideration. Even if your exchange rate is fixed, but it can still be higher than other countries.

$\Downarrow$
Constant use of reserves will be required by the government to maintain exchange rate, this can exhaust our reserves in the long run

Quick review

Advantages of floating exchange rate

- * The rate will be determined continually through market forces, so the government doesn't have to intervene
- * There is no need to hold large amount of reserves
- * Government is not committed to maintaining a particular external value of the currency and so can focus on other objectives

Disadvantages of a floating exchange rate

- * It can fluctuate a great deal and this volatility can make it very difficult for firms to plan ahead.
- * There can be speculative pressures on the currency.

Advantages of a fixed exchange rate

- * Less volatility in the exchange rate so less instability
- * Makes planning / forecasting easier and so less uncertainty
- * Could encourage investment / trade, having a positive effect on the economy.
- * Avoids speculative movement in exchange rate

Disadvantages of a fixed exchange rate

- * Requires government to hold large reserves
- * If the rate cannot be maintained, there will be a dramatic change in value through a devaluation

Questions

- Q1 Discuss the advantages and disadvantages of floating exchange rate ? 8
- Q2 Discuss the advantages and disadvantages of fixed exchange rate ? 8